St Ignatius' College
Riverview

2023

HIGHER
SCHOOL
CERTIFICATE
Task 1

Business Studies

General Instructions

- Working time – 55 minutes
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 40

Section I – 10 marks

- Attempt Questions 1–10
- Allow about 15 minutes for this section

Section II – 30 marks

- Attempt Questions 11–13
- Allow about 40 minutes for this section

Section I - 10 marks

Attempt Questions 1–10

Allow about 15 minutes for this section

Use the multiple-choice answer sheet for Questions 1–10.

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1 Run FASTR is a personal training business that specialises in running coaching.

Run FASTR is providing a

A. good that is tangible.

B. service that is intangible.

C. good that is intangible.

D. service that is tangible.

2 Which of the following are the most likely outcomes of economies of scale?

A. A reduction in average cost and an increase in volume discounts

B. A reduction in staff turnover and an increase in production capacity

C. An increase in staff turnover and a decrease in production capacity

D. An increase in average cost and an increase in staff turnover

3 A business reduces their number of transportation routes to reduce costs.

This is an example of

A. a logistics strategy.

B. an outsourcing strategy.

C. an e-commerce strategy.

D. a quality assurance strategy.

4 Louis owns a suit tailoring company offering customised suits for their customer's measurements.

What type of input is the customer's suit measurements?

A. Facilities

B. Materials

C. Customers

D. Information

5 Which of the following is NOT true when using a Gantt chart for operational managers?

A. It shows when each activity begins and ends

B. It shows the sequence of activities to be undertaken

C. It shows how long each activity is scheduled to take

D It shows the start date but not the end date of the whole project

6 Salty Swimwear has decided to focus on a differentiation approach in operations.

Which of the following best describes this strategy?

A. Design and quality rather than cost

B. Cost rather than design and quality

C. Similar design concepts to the market leaders

D. Cost reduction and unique design concepts

7 Which of the following are advantages of outsourcing home delivery for a pizza chain?

A. Increase warranty claims and the reduced costs of ingredients for pizza

B. Increase delivery reach and increase legal responsibilities for the new drivers

C. Focus on core business and reduced legal responsibilities for the new drivers

D. Ability to develop new menu items and reduced costs of ingredients for pizza

8 A manufacturing business has implemented new leading-edge technology which resulted in 30% of the operations employees losing their jobs.

Which of the following is a likely reason for the resistance to change for those employees still working at this business?

A. The cost of redundancy payments

B. The costs of purchasing new equipment

C. The time and effort associated with retraining

D. The improved efficiency created from the new technology

9 A toy manufacturer has implemented a new inspection system in their production which has resulted in recording a higher number of defects.

Which quality management strategy would NOT be suitable for this business in reducing their defects before they occur?

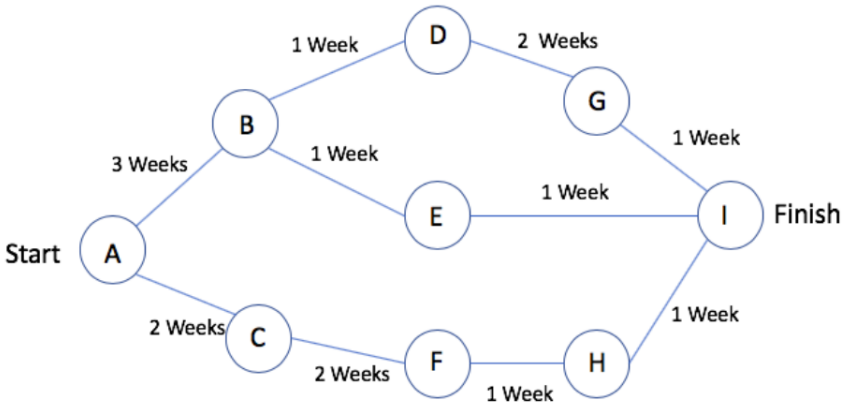
A. Quality control

B. Quality assurance

C. Quality improvement

D. Total quality management

Refer to the diagram below to answer Question 10



10 What is the shortest amount of time to complete the project?

A. 5 weeks

B. 6 weeks

C. 7 weeks

D. 8 weeks

End of Section I

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HSC Task 1

Business Studies
Section II

30 marks
Attempt Questions 11–13
Allow about 40 minutes for this section

Instructions

- Write your Centre Number and Student Number at the top of this page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- If you utilise a writing booklet for additional space, please ensure that it is clearly labelled

- This page has been left intentionally blank -

Student Number

Question 11 (10 marks)

Snowy Ice-Creams Pty Ltd is opening a new store in the city. They plan on purchasing machinery to make all products on site. They will be selling 30 different flavours of ice-cream varieties as well as several cake desserts.

(a) Outline the impact that variety will have on the operations processes for this business. **2**

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(b) Describe how the operations of this business is interdependent with human resources. **4**

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Question 11 continues on the next page.

(c) With reference to a business you have studied, explain how the use of an operations strategy has improved the performance objectives of cost and speed. **4**

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End of Question 11

Student Number

Section II (continued)

Question 12 (10 marks)

Optics is a manufacturer of frames for glasses including everyday reading frames and sports frames. They have recently introduced new technology to reduce the amount of plastic in each pair of their new product line by 25%.

(a) Distinguish between legal compliance and ethical responsibility. **2**

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(b) How does the new product line impact task design and process layout in their operations? **4**

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Question 12 continues on the next page

(c) Explain why corporate social responsibility is a key influence on operations management at Optics. **4**

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End of Question 12

Question 13 (10 marks)

Mike's Mattress Co. manufactures high quality custom mattresses. They have provided the following data about their operations process:

	Planned Results	*Actual Results*
Number of defects (per 100 units)	5	10
Number of mattress (output per day)	200	230
Sales (per month)	$20,000	$15,000
Storage costs (per month)	$1,500	$4,000

(a) Recommend an appropriate inventory management strategy for the Mattresses at Mike's Mattress Co. **2**

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(b) Using TWO examples from the table above, explain the importance of monitoring and controlling for operations management for this business. **4**

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This business is considering increasing their warranty from 5 years to 10 years.

(c) Explain the impact of the proposed change in the warranty for operations. **4**

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End of Question 13

END OF PAPER